We discuss each of the proposed content requirements in detail below, including specific requests for comment regarding each proposed item of the annual report. In addition to the more-specific requests for comment below, we also request general comments on the proposed content requirements for funds' annual reports.

12. In addition to the proposed content requirements for funds' annual reports, should we require or permit funds to provide additional information in their shareholder reports? For example, is there other information that funds typically include in their annual reports as a matter of practice or to comply with other regulatory requirements (*e.g.*, tax-related disclosure under the Internal Revenue Code about the fund's distributions)? Would it be beneficial to shareholders to receive any additional information in the annual report, or should funds provide this information through other mechanisms (*e.g.*, on their websites, in materials separately transmitted with the annual report, or in account statements)?

13. Are the topics that funds would discuss in their annual reports under the proposed amendments appropriate to provide fund shareholders with key information for assessing and monitoring their fund investments? Are there additional topics that should be required? Please explain. Are any of the topics redundant with information that appears in other disclosure requirements? If so, which topics, and why are they redundant?

14. How would the proposed amendments affect the length of funds' annual reports? Would the length of the proposed reports affect a fund's approach for delivering the full report in the mail, relative to its current approach for mailing annual reports?

15. Would proposed Item 27A result in disclosure that is of an appropriate length to be engaging and accessible to fund shareholders, or should we take additional steps to limit the length or complexity of annual report disclosure? For example, should we impose page or

word limits on annual reports? If so, what should they be? Should we limit the length of any particular section of the annual shareholder report, and if so, what should these limits be?

a. Cover Page or Beginning of the Report

The proposed amendments to Form N-1A would require a fund to provide the following information on the cover page or at the beginning of the annual report:

- The name of the fund, as well as the class(es) to which the annual report relates;
- The exchange ticker symbol of the fund's shares, or the ticker symbol of each class adjacent to the class name;
- If the fund is an ETF, the principal U.S. market(s) on which the fund's shares are traded;
- A statement identifying the document as an "annual shareholder report;" and
- The following legend: "This annual shareholder report contains important information about [the Fund] for the period of [beginning date] to [end date] [as well as certain changes to the Fund]. You can find additional information about the Fund at [Fund website address]. You can also request this information by contacting us at [toll-free telephone number and, as applicable, email address]."[136]

Currently, funds are not required to include specific cover page information in their shareholder reports. However, we understand that, as a matter of practice, funds typically include identifying information—such as the fund's name, the period of time the report covers, and whether the report is an annual or semi-annual report—at the beginning of the

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[136] *See* proposed Item 27A(b) of Form N-1A. The reference to the "beginning" of an annual report is designed to address circumstances in which there is not a physical page that would precede the report, for example, when the report appears online or on a mobile device. *See infra* Section II.B.4.

report or on a cover page. We are proposing to require specific identifying information at the beginning of the annual report so that shareholders can readily identify the purpose and scope of the report. This is also substantially similar to information that must appear at the beginning of fund prospectuses.[137]

The proposed legend is designed to help shareholders understand the purpose of the annual report, as well as the time period covered by the report. It also describes how a shareholder can obtain additional information about the fund, consistent with similar legends that appear on the cover page of the summary prospectus.[138] The website address a fund would provide in the legend would need to be specific enough to lead shareholders directly to the materials that would be required to be accessible on the fund's website under this proposal, including the fund's financial statements and financial highlights.[139] Funds also would have discretion to include other ways a shareholder can find or request additional information about the fund, such as Quick Response Code ("QR code") or referring the reader to mobile applications.[140]

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137 *See* Item 1 of Form N-1A.

138 *See* rule 498(b)(1)(v).

139 *See* Instruction 2 to proposed Item 27A(b); *infra* Section II.C. The website could be a central site with prominent links to the materials that would need to be accessible under the proposed amendments to rule 30e-1.

140 A QR code is a two-dimensional barcode capable of encoding information such as a website address, text information, or contact information. For example, when included on print materials, these codes can be read using the camera on a smartphone to take the user directly to a specific website address.

In addition, the proposed amendments would permit funds to include graphics, logos, and other design or text features to help shareholders identify the materials as the fund's annual report.[141]

We request comment generally on the proposed content requirements for the cover page or beginning of the annual report, and specifically on the following issues:

16. Is there additional information that we should permit or require funds to provide on the cover page or at the beginning of their annual reports? If so, what are the benefits of that additional information? For example, should we permit or require funds to include a table of contents, or would a table of contents add undue length to the shareholder report and provide limited benefits to shareholders given the general brevity of the report?

17. Should we remove or modify any of the information the proposed rule would permit or require funds to include on the cover page or at the beginning of their annual report, and if so, what information and how should we modify it?

b. Fund Expenses

We are proposing a simplified expense presentation in the annual report that would require a fund to provide the expenses associated with a hypothetical $10,000 investment in the fund during the preceding reporting period. In particular, the table must show: (1) an assumed $10,000 beginning account value; (2) total return during the period, before deducting expenses; (3) expenses in dollars paid during the period; (4) ending account value in dollars, based on net asset value return and the assumed $10,000 beginning account value; and (5)

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[141] *See* Instruction 1 to proposed Item 27A(b) of Form N-1A.

expenses as a percent of an investor's investment in the fund (*i.e.* expense ratio).[142] ETFs must also include the ending value of the account based on market value return.[143] The proposed expense example would appear as follows, and the individual aspects of the example are described in more detail below.

What were your Fund costs for the period? *(based on a hypothetical $10,000 investment)*

[Fund or Class Name]	Beginning account value [beginning date]	Total return before costs paid*	**Costs paid†**	Ending account value [end date] (based on net asset value return)	[For ETF only] Ending account value [end date] (based on market value return)	**Costs paid as a percentage of your investment†**
	$10,000	+ (plus) $[x]	**- (minus) $[x]**	= (equals) $[x]		**%**

* In this footnote, the fund would be required to describe qualitatively in plain English other costs included in total return, if material to the fund. For example, if applicable and material, the fund would note that fund investment transaction costs, securities lending costs, or acquired fund fees and expenses reduced the total return.

† In this footnote, the fund would be required to note in plain English that the actual costs paid during the period do not reflect certain costs paid outside the fund (such as purchase and exit costs charged by the shareholder's broker-dealer).

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142 *See* proposed Item 27A(c) of Form N-1A; *see also* discussion at *infra* Section II.B.4 and *infra* footnote 338 and accompanying text for a discussion of additional tools a fund can provide online to facilitate shareholder engagement.

143 *See* proposed Item 27A(c) of Form N-1A.